

DEED Small Business Finance Authority (SBFA) Loan Application

JAM Construction LLC

Executive Summary

JAM Construction LLC is applying for funding to launch a construction estimating services business in Minneapolis, Minnesota. Our business leverages the commercial construction experience of our lead estimator to provide accurate, reliable estimating services to both commercial and residential contractors. We project \$987,600 in first-year revenue with strong growth potential and a clear path to loan repayment.

Business Description

Company Name: JAM Construction LLC **Business Type:** Construction estimating services **Location:** Minneapolis, Minnesota **Founded:** [Date of formation] **Ownership:** [Owner names and percentages]

Our company provides professional construction estimating services to contractors in the Minneapolis metropolitan area. With our lead estimator's extensive commercial construction experience, we offer expertise that differentiates us from competitors who focus solely on residential projects.

Management Team

Our management team combines commercial construction expertise with business acumen. Our lead estimator brings X years of experience from a major construction company, specializing in commercial project estimating, material takeoffs, and cost analysis. This experience provides deep understanding of complex commercial requirements, regulations, and industry standards.

Products and Services

- Commercial construction estimating
- Residential construction estimating
- Material takeoffs and quantity surveys
- Feasibility and preliminary cost estimates
- Change order analysis and pricing
- Project budget oversight consultation

Market Analysis

The Minneapolis construction market remains robust with commercial construction valued at approximately \$2.5 billion annually and steady residential activity driven by population growth and aging housing stock. Our dual-market approach

(commercial and residential) provides market flexibility and reduces dependency on any single sector.

Key market trends supporting our business: - Labor shortages driving need for efficient estimating - Material cost volatility requiring precise estimating - Growing demand for technology-enabled estimating services - Strong construction pipeline in the Twin Cities area

Competitive Analysis

Our competitive advantages include: - Commercial construction expertise in a market with many residential-focused competitors - Dual market capability (commercial and residential) - Personalized service compared to large estimating firms - Competitive pricing while maintaining quality - Deep understanding of local market conditions and costs

Financial Projections

Startup Costs Required: \$8,000 - Equipment and software: \$4,000 - Insurance: \$1,000 - Legal and licensing: \$500 - Working capital: \$2,500

Year 1 Revenue Projections: \$987,600 - Commercial estimates: 66 projects $\times$ \$8,000 avg = \$528,000 - Residential estimates: 57 projects $\times$ \$2,000 avg = \$114,000 - Simple takeoffs: 81 projects $\times$ \$1,200 avg = \$97,200 - Additional services: \$248,400

Operating Expenses (Year 1): \$102,684 **Net Profit (Year 1):** \$884,916

Use of Funds

The requested loan will be used to purchase essential equipment and software, secure required insurance, cover initial operating expenses, and provide working capital during the initial growth period. Specifically: - Computer hardware and software licenses: \$4,000 - General liability and professional liability insurance: \$1,000 - Business registration, licensing, and legal fees: \$500 - Initial marketing and promotional materials: \$1,000 - Working capital for first quarter operations: \$1,500

Loan Repayment Plan

With projected monthly revenues starting at \$21,600 in Month 1 and growing to \$142,400 in Month 12, we have a clear path to loan repayment. Conservative projections indicate sufficient cash flow to service debt beginning in Month 2 of operations. Our high-margin business model (95% gross margin) provides substantial cash flow for debt service.

Risk Management

We mitigate risks through: - Diversification across commercial and residential markets - Experienced leadership with industry expertise - Conservative financial projections - Strong local market fundamentals - Low fixed-cost structure providing operational flexibility

Collateral

Personal guarantees will be provided by owners. Additional collateral may include business equipment and accounts receivable as the business develops.

Conclusion

JAM Construction represents a compelling investment opportunity with experienced leadership, strong market fundamentals, and exceptional growth potential. The requested funding will enable us to establish operations and capitalize on significant market demand for professional estimating services in the Minneapolis area.

Requested Loan Amount: \$13,450 (includes working capital) **Proposed Term:** 7 years **Intended Use:** Business startup costs and working capital